AR 2EB

ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO

LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Crocs, Inc.

NASDAQ : CROX · Mature-Company DCF

$5.94B mkt cap · 50M sh · $130M cash, $1.34B debt · ~$0.13B cash vs ~$1.34B total debt → ~$1.2B net debt (deleveraging the HEYDUDE deal); ~50.2M shares; Revenue $4.04B FY25 (~flat); GAAP op margin 3.7% but adjusted ~22% (the $737M non-cash HEYDUDE impairment); FCF ~$0.7-0.9B; ~$118, +39% YTD; ~9x EV/FCF on a heavy buyback (~$2.97B/56M shares done, $747M left)

22 October 2026 · the qualitative

$118.49

THE CENTRAL QUESTION

Does the Crocs core brand (~83% of revenue) sustain mid-single-digit international-led growth — or does the N.A. fad fade while HEYDUDE bleeds?

Crocs trades at ~$5.94B (~$118.49, +39% YTD) — ~9x EV/FCF on $4.04B revenue that is ~flat because HEYDUDE (-12%) offsets a still-growing core (+1%, international +7%). The TTM GAAP P/E is distorted by a $737M non-cash HEYDUDE impairment; adjusted operating margin is ~22%. The bull is the core compounding on international while the written-down HEYDUDE de-risks the downside; the bear is the fad fading plus more HEYDUDE value destruction. On normalized FCF the modal case is ~+67%.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) +67.1% · 14% at or below spot

$193.07

expected fair value today

+62.9% vs spot $118.49

FORWARD COMPOUNDED VALUE

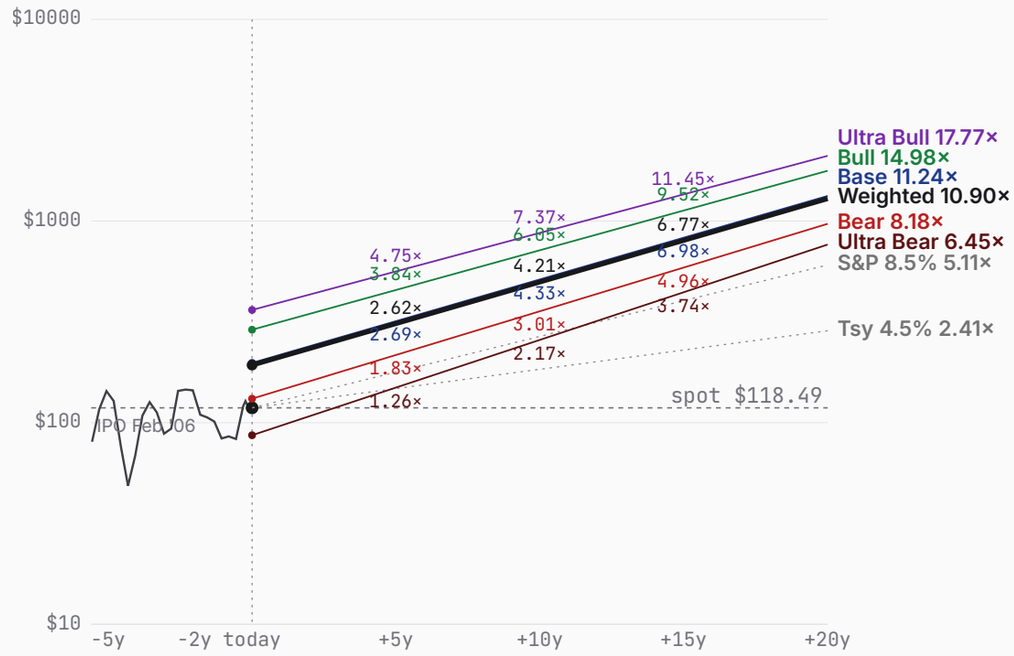
+5y	+10y	+15y	+20y
$310.16	$498.63	$802.23	$1,291.66
2.62× spot	4.21× spot	6.77× spot	10.90× spot

WEIGHTING RATIONALE

Ultra Bear 14% Fad fades and HEYDUDE keeps bleeding; ~$86.67 (-27%).
Bear 27% Flat top line, HEYDUDE a lasting drag; $131.52 (+11%).
Base 34% Crocs core compounds, HEYDUDE stabilizes; ~$197.95 (+67%).
Bull 17% International runway; the brand re-rates; ~$289.05 (+144%).
Ultra Bull 8% Global brand machine, full re-rate; ~$362.25 (+206%).

Bull (17%) + Ultra Bull (8%) together contribute $78.12 — 40% of the $193.07 expected value despite 25% combined probability. Today's spot ($118.49) sits 39% below the weighted expected.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR — $86.67

-26.9% vs spot

CAGR -1.4% WACC 11.5%
CAGR -1.4% Prob 14%

Fad fades; HEYDUDE keeps bleeding.

BEAR — $131.52

+11.0% vs spot

CAGR +0.8% WACC 10.5%
CAGR +0.8% Prob 27%

Flat top line; HEYDUDE a lasting drag.

BASE — $197.95

+67.1% vs spot

CAGR +2.8% WACC 10.0%
CAGR +2.8% Prob 34%

Core compounds; HEYDUDE stabilizes.

BULL — $289.05

+143.9% vs spot

CAGR +4.4% WACC 9.5%
CAGR +4.4% Prob 17%

International runway; brand re-rates.

ULTRA BULL — $362.25

+205.7% vs spot

CAGR +5.8% WACC 9.2%
CAGR +5.8% Prob 8%

Global brand machine; full re-rate.

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Crocs, Inc. scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 14% Bear 27% Base 34% Bull 17% Ultra Bull 8% · Weighted expected $193.07 (+62.9% vs spot)

ULTRA BEAR $86.67

-26.9% vs spot

Probability 14%

Fad fades; HEYDUDE keeps bleeding.

WHY 14%

The genuine bear: Crocs is a single-silhouette fad with N.A. already -6%, HEYDUDE is guided down again, and tariffs are live. 14% on the cash engine actually rolling over rather than just decelerating.

WHAT HAPPENS

The Crocs core rolls over in N.A. as the clog cycle peaks and international can't offset it, while HEYDUDE keeps shrinking past the markdown already taken; consolidated revenue declines mid-single-digit before flattening. Tariffs/duties and mix compress margin and FCF margin slides toward ~13-15% as the brand loses pricing power.

A fashion brand whose lead franchise is fading earns a low single-digit-growth, ~9x FCF terminal → DCF ~$86.67 (-27%); ~$1.2B net debt deepens the equity hit even with the buyback shrinking the share count.

BEAR $131.52

+11.0% vs spot

Probability 27%

Flat top line; HEYDUDE a lasting drag.

WHY 27%

The plausible 'decelerates but doesn't break' path: Crocs muddles low-single-digit, HEYDUDE stays a drag, margins are tariff-capped. 27% as the realistic muddle-through.

WHAT HAPPENS

Crocs grows low-single-digit on international while N.A. stays soft, and HEYDUDE's decline is a persistent offset, so consolidated revenue is roughly flat for years. Margin holds in the high-teens/low-20s as tariffs and mix cap operating leverage; the buyback does much of the per-share work.

DCF ~$131.52 (+11%) — even a flat, HEYDUDE-dragged Crocs at ~10x terminal FCF is above today's price; ~9x entry plus FCF-funded repurchases provide a floor without a re-rate.

BASE $197.95

+67.1% vs spot

Probability 34%

Core compounds; HEYDUDE stabilizes.

WHY 34%

Requires Crocs international + DTC to keep the brand growing while a de-risked HEYDUDE merely holds — consistent with +7% international and the raised FY26 guide. 34% as the central case.

WHAT HAPPENS

The modal path: the Crocs brand sustains mid-single-digit growth led by international and DTC, HEYDUDE stabilizes near its written-down level rather than recovering, and consolidated revenue compounds low-single-digit (~3%). Adjusted operating margin holds ~20-22% as scale offsets tariffs, and FCF margin runs ~16-18%.

DCF ~$197.95 (+67%) — a still-growing core brand throwing off ~$0.7-0.9B FCF, valued at ~12x terminal FCF after the ~$1.2B net-debt bridge, prices well above ~9x today; the buyback compounds the per-share math. The flat consolidated optics, not the cash, are what the market is discounting.

BULL $289.05

+143.9% vs spot

Probability 17%

International runway; brand re-rates.

WHY 17%

Crocs international +7% with white space, ~83%-of-revenue cash engine, and a buyback ~$0.75B remaining make a re-rate credible if N.A. fad-fear proves wrong. 17% on the brand durability case landing.

WHAT HAPPENS

The Crocs brand proves it is a durable global footwear platform, not a N.A. fad: international compounds mid-to-high-single-digit, DTC and Jibbitz personalization lift margin, and HEYDUDE quietly returns to flat-to-positive off its low base. Revenue compounds ~4-5% at a ~23-24% operating margin and FCF margin near 20%.

DCF ~$289.05 (+144%) — if the market re-rates Crocs toward a branded-compounder multiple (~14x terminal FCF) and the aggressive buyback keeps shrinking the float, the de-rated ~9x entry re-rates hard with the fundamentals.

ULTRA BULL $362.25

+205.7% vs spot

Probability 8%

Global brand machine; full re-rate.

WHY 8%

Everything works — durable international growth AND margin expansion AND a HEYDUDE recovery AND a multiple re-rate, the brand-platform outcome. 8%, the upside tail.

WHAT HAPPENS

The full second act: Crocs becomes an enduring global brand machine — international and DTC compound high-single-digit, Jibbitz/personalization and collaborations entrench pricing power, HEYDUDE turns into a contributor, and margin pushes toward 25%. Revenue compounds ~6% at a ~25% operating margin, FCF margin ~21%.

DCF ~$362.25 (+206%) — the asymmetric tail where a fad re-rates into a compounder at ~15x terminal FCF while a buyback retires a large share of the float; ~8% probability, the long-duration upside the ~9x entry is buying.

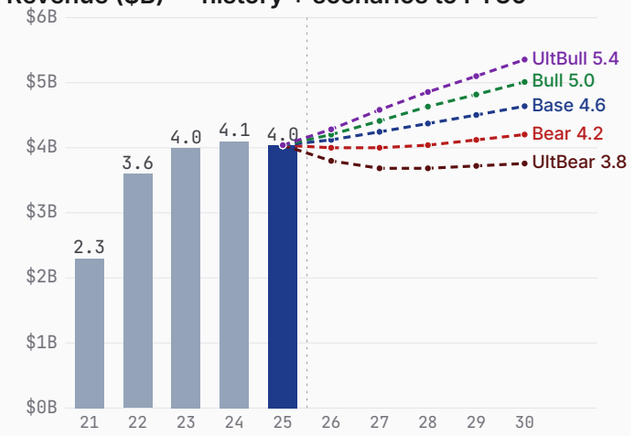
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Crocs, Inc. business snapshot

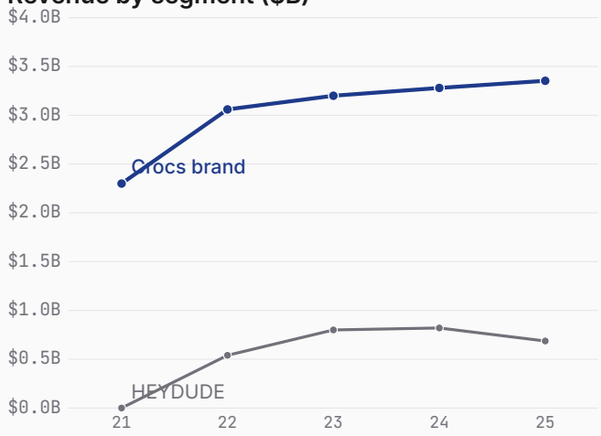
Bear $131.52 Base $197.95 Bull $289.05

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · Q1-FY2026 results + raised FY26 guidance

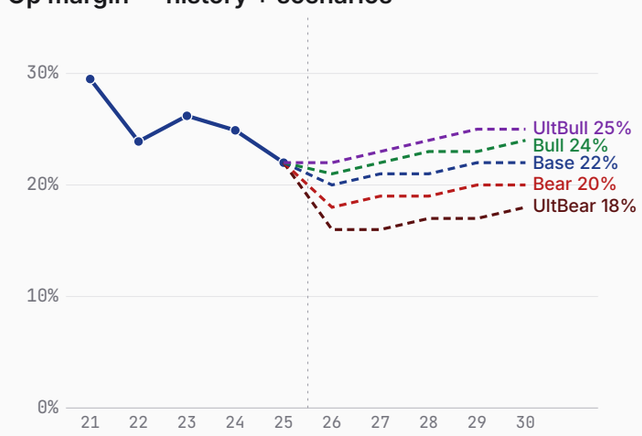
Revenue ($B) — history + scenarios to FY30



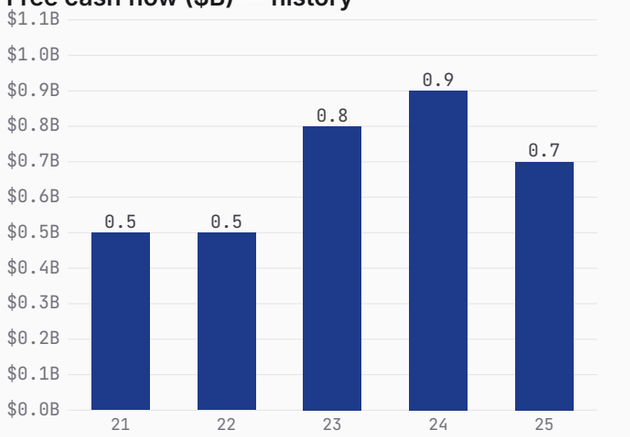
Revenue by segment ($B)



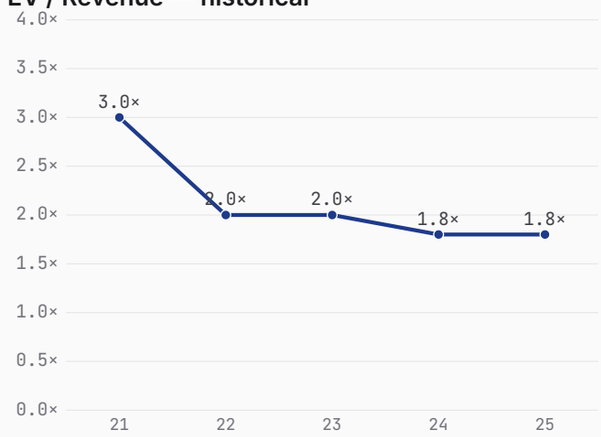
Op margin — history + scenarios



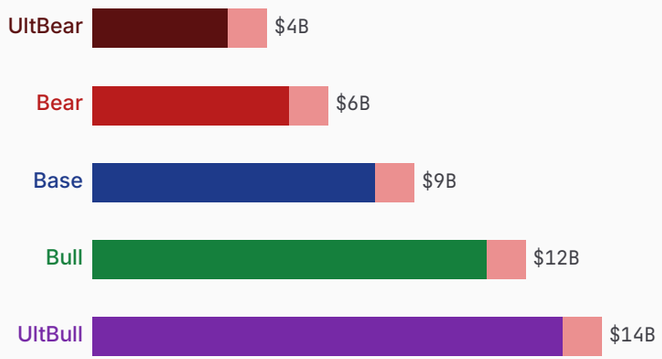
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV − net debt)



Op EV · cash · special assets

Sources: SEC XBRL company facts (CIK 1334036), Crocs Q1-FY2026 release (revenue $921.5M/-1.7%, Crocs brand $767M/+0.8%, international +7%, N.A. -6%, HEYDUDE $154M/-12.3%, gross margin 56.8%, adjusted op margin ~22%), $737M HEYDUDE impairment (Q2-2025), FY26 guide -1 to +1%. Op margin history is GAAP; the model uses normalized margins, a Gordon terminal, and an equity bridge less ~$1.2B net debt. EV/sales & EV/FCF vs peers.

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Crocs, Inc. 7 Powers · the moat, scored

Bear $131.52 Base $197.95 Bull $289.05

Arena. Branded footwear — Crocs (a dominant single-brand clog/sandal franchise with personalization via Jibbitz, plus the declining HEYDUDE) vs Deckers (HOKA/UGG), Nike, Skechers, and On; auditing a brand Power against fashion/fad concentration and the HEYDUDE drag.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies ■■□	Sourcing and marketing leverage at ~$4B revenue and high gross margin (56.8%), but small vs Nike/Deckers; not a cost-based moat.
Network Economies □□□	None — footwear isn't a network; Jibbitz personalization is engagement, not a network effect.
Counter-Positioning ■□□	Crocs was the anti-fashion 'ugly' disruptor incumbents wouldn't copy; now mainstream, so the edge is brand, not a positioning rivals can't match.
Switching Costs □□□	Zero — footwear purchase is promiscuous; every pair is a fresh decision.
Branding · thesis leans here ■■■	The dominant Power: a globally recognized brand with real pricing power, ~57% gross margin, Jibbitz personalization and collaborations — the entire cash engine, but concentrated in one silhouette and exposed to fad risk.
Cornered Resource ■□□	The Crocs trademark/Croslite material and Jibbitz IP are valuable, but the form is widely imitated; not truly cornered.
Process Power ■□□	Efficient sourcing and DTC/digital execution; competent operations, not a structural process moat.

PEER SET

Deckers (DECK) — 15% gr · 21% mgn · ~18x EV/FCF
HOKA/UGG owner; the branded-footwear compounder benchmark — higher growth and a richer multiple, the bull comp.

Nike (NKE) — 0% gr · 11% mgn · ~25x EV/FCF
The scale incumbent; brand/distribution power Crocs can't match, but slower-growing and turnaround-bound.

Skechers (SKX) — 7% gr · 10% mgn · ~private (~LBO)
Value/comfort footwear at scale; the closest size/price comp, taken private in 2025 at a modest multiple.

On Holding (ONON) — 30% gr · 10% mgn · ~40x EV/FCF
Premium performance-running insurgent; the high-growth, high-multiple end of the field, the anti-fad comp.

THREAT VECTORS · FALSIFIERS

Branding · Fashion/fad cycle in N.A. (changing taste, the clog peaking)
falsifier: Crocs-brand N.A. comps deepen below -6% and international decelerates, signalling the silhouette is a domestic cycle, not a durable platform.

Branding · HEYDUDE structural decline
falsifier: A further HEYDUDE write-down or a guide-down below -7%, dragging consolidated growth and confirming the deal destroyed value.

Scale Economies · Tariffs/duties + product-cost and mix inflation
falsifier: Adjusted operating margin falls below ~18%, eroding the FCF margin the whole valuation rests on.

COMPETITIVE READ

Crocs's brand Power is genuine and dominant — a globally recognized footwear brand with ~57% gross margin, real pricing power, and Jibbitz personalization, and it is essentially the entire cash engine (~83% of revenue, ~$0.7-0.9B FCF). The Audit: branding is durable but rated medium, not high, because it is concentrated in a single silhouette exposed to fad risk and bolted to a structurally declining HEYDUDE. The live threats are a N.A. taste shift (already -6%) and further HEYDUDE value destruction — but HEYDUDE is already impaired ($737M taken) and international is +7%, which is why the downside is de-risked and the brand re-rate is the upside. That squares with the +62.9% finding: at ~9x EV/FCF the market prices a fading business, while the normalized cash flow of a still-growing core brand underwrites materially more — the flat consolidated optics, not the cash, are the discount.

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Crocs, Inc. show your work

Bear $131.52 Base $197.95 Bull $289.05 · Weighted $193.07 (+62.9%)

ULTRA BEAR $86.67

ASSUMPTIONS

5y revenue CAGR (%)	-1.4
Year-5 op margin (%)	18.0
WACC (%)	11.5
Terminal growth (%)	2.0
Terminal FCF ($B)	$0.56B
Starting revenue ($B)	4.04
Scenario probability (%)	14

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.80	+16%	+0.49	+0.44
FY27	3.68	+16%	+0.48	+0.39
FY28	3.68	+17%	+0.52	+0.37
FY29	3.72	+17%	+0.52	+0.34
FY30	3.76	+18%	+0.56	+0.33

Σ PV explicit FCF	**+1.86**
+ PV terminal (g 2.0%)	3.51

EQUITY BUILD · $B & PER SHARE

Operating EV	$5.37B
+ Cash & investments	$0.13B
− Total debt	$1.34B
= Equity value	**$4.16B**
FY30 shares (M)	48
= Expected per share	**$86.67**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$149.36	$257.41	$443.60	$764.48
1.26×	2.17×	3.74×	6.45×

BEAR $131.52

ASSUMPTIONS

5y revenue CAGR (%)	+0.8
Year-5 op margin (%)	20.0
WACC (%)	10.5
Terminal growth (%)	2.0
Terminal FCF ($B)	$0.67B
Starting revenue ($B)	4.04
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	4.00	+18%	+0.60	+0.54
FY27	4.00	+19%	+0.60	+0.49
FY28	4.04	+19%	+0.65	+0.48
FY29	4.12	+20%	+0.66	+0.44
FY30	4.20	+20%	+0.67	+0.41

Σ PV explicit FCF	**+2.36**
+ PV terminal (g 2.0%)	4.90

EQUITY BUILD · $B & PER SHARE

Operating EV	$7.26B
+ Cash & investments	$0.13B
− Total debt	$1.34B
= Equity value	**$6.05B**
FY30 shares (M)	46
= Expected per share	**$131.52**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$216.67	$356.96	$588.07	$968.81
1.83×	3.01×	4.96×	8.18×

BASE $197.95

ASSUMPTIONS

5y revenue CAGR (%)	+2.8
Year-5 op margin (%)	22.0
WACC (%)	10.0
Terminal growth (%)	2.5
Terminal FCF ($B)	$0.83B
Starting revenue ($B)	4.04
Scenario probability (%)	34

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	4.12	+20%	+0.66	+0.60
FY27	4.25	+21%	+0.72	+0.60
FY28	4.37	+21%	+0.74	+0.56
FY29	4.50	+22%	+0.81	+0.55
FY30	4.64	+22%	+0.83	+0.52

Σ PV explicit FCF	**+2.83**
+ PV terminal (g 2.5%)	7.09

EQUITY BUILD · $B & PER SHARE

Operating EV	$9.92B
+ Cash & investments	$0.13B
− Total debt	$1.34B
= Equity value	**$8.71B**
FY30 shares (M)	44
= Expected per share	**$197.95**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$318.80	$513.43	$826.89	$1,331.71
2.69×	4.33×	6.98×	11.24×

BULL $289.05

ASSUMPTIONS

5y revenue CAGR (%)	+4.4
Year-5 op margin (%)	24.0
WACC (%)	9.5
Terminal growth (%)	3.0
Terminal FCF ($B)	$1.00B
Starting revenue ($B)	4.04
Scenario probability (%)	17

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	4.20	+21%	+0.71	+0.65
FY27	4.41	+22%	+0.79	+0.66
FY28	4.63	+23%	+0.88	+0.67
FY29	4.82	+23%	+0.92	+0.64
FY30	5.01	+24%	+1.00	+0.64

Σ PV explicit FCF	**+3.26**
+ PV terminal (g 3.0%)	10.09

EQUITY BUILD · $B & PER SHARE

Operating EV	$13.35B
+ Cash & investments	$0.13B
− Total debt	$1.34B
= Equity value	**$12.14B**
FY30 shares (M)	42
= Expected per share	**$289.05**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$455.03	$716.33	$1,127.68	$1,775.23
3.84×	6.05×	9.52×	14.98×

ULTRA BULL $362.25

ASSUMPTIONS

5y revenue CAGR (%)	+5.8
Year-5 op margin (%)	25.0
WACC (%)	9.2
Terminal growth (%)	3.0
Terminal FCF ($B)	$1.13B
Starting revenue ($B)	4.04
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	4.28	+22%	+0.77	+0.71
FY27	4.58	+23%	+0.87	+0.73
FY28	4.86	+24%	+0.97	+0.75
FY29	5.10	+25%	+1.07	+0.75
FY30	5.36	+25%	+1.13	+0.72

Σ PV explicit FCF	**+3.66**
+ PV terminal (g 3.0%)	12.04

EQUITY BUILD · $B & PER SHARE

Operating EV	$15.70B
+ Cash & investments	$0.13B
− Total debt	$1.34B
= Equity value	**$14.49B**
FY30 shares (M)	40
= Expected per share	**$362.25**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$562.50	$873.44	$1,356.28	$2,106.01
4.75×	7.37×	11.45×	17.77×

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Crocs, Inc. People · Opportunity · Context · Deal

Bear $131.52 Base $197.95 Bull $289.05

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Andrew Rees

9 yrs in seat

3.1%
insider ownership

MEDIUM
key-person risk

Capital allocation (realized)
No dividend; capital returned almost entirely via buyback — ~$2.97B / 56.4M shares repurchased program-to-date (~82% of authorization), incl. $577M / 6.5M sh in FY25 and >$550M in FY24, $747M remaining at YE25. The 2022 HEYDUDE acquisition (~$2.5B, debt-funded) is the one large M&A move; the company has since deleveraged (~$320M paid down in FY24) but still carries ~$1.3B borrowings (Q1-2026) vs ~$0.13B cash. HEYDUDE was written down $737M in Q2-2025 ($430M trademark + $307M goodwill) as the brand declined ~13% — a non-cash impairment of an acquisition Rees led.

Incentive alignment
FY25 CEO total comp $10.96M (down ~13% YoY); ~90% at-risk — base ~$1.1M, the remainder equity + non-equity incentive, no stock options. LTIP PSUs earned on Adjusted-EBIT operating-margin and three one-year adjusted-revenue targets (2025-2027), with a 3-yr relative-TSR modifier on the whole award (the 2025 EBIT-margin PSU paid at 97.1%). Hedging/pledging prohibited; clawback policy in place.

GOVERNANCE FLAGS

- single class of common stock, one vote per share (no dual-class)
- independent Chair (Thomas Smach, director since 2005) separate from the CEO; board of 9, majority independent
- classified / staggered board (three classes, three-year terms) — a takeover-defense flag
- directors + officers as a group (14) own 3.1% (Rees ~2.5%); no activist campaign on record

THE FOUR LEGS

People
observable composite · 1–5



Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value, then position-sized.
+62.9% vs spot $118.49

> **PEOPLE READ**
> Clean single-class governance, an independent chair, ~90%-at-risk PSU / relative-TSR pay and aggressive buybacks, modestly offset by the debt-funded HEYDUDE acquisition that required a $737M impairment and a classified board.

Crocs, Inc. supporting analysis · disclaimers · glossary

Bear $131.52 Base $197.95 Bull $289.05

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Consolidated revenue is flat — why is this cheap?**
Flat is HEYDUDE (-12%) masking a still-growing core (+1%, international +7%); at ~9x EV/FCF the market pays a fading multiple for a compounder.

2 **The TTM GAAP P/E looks distorted.**
FY25 GAAP op margin is 3.7% only on a $737M non-cash impairment; adjusted margin is ~22%, FCF ~$0.7-0.9B — the model is normalized.

3 **HEYDUDE is the bear — but it's already written down.**
The $430M trademark + $307M goodwill write-down is taken; residual downside is a small guide-down, de-risking more than it threatens.

4 **Crocs is a single-silhouette fad concentrated in N.A.**
The real risk: ~83% of revenue is one brand, N.A. already -6%; the bull rests on international (+7%) proving a durable global platform.

5 **Net debt, not net cash — does it matter?**
~$1.2B net debt (the HEYDUDE deal) drags the equity build, so the buyback runs alongside paydown; deep FCF services both but caps the float shrink.

FALSIFICATION TRIGGERS

Bull validation

Crocs international growth holds mid-single-digit+ · adjusted operating margin stays >22% · HEYDUDE decline flattens toward 0% · buyback keeps retiring float at ~9x

Bear validation

Crocs N.A. comps deepen below -6% and international decelerates · another HEYDUDE write-down or guide-down below -7% · adjusted operating margin below ~18% · FCF margin slips to low teens

Reframe needed

if Crocs-brand growth turns negative (not just HEYDUDE), the fad thesis is confirmed — re-rate the terminal toward a declining single-brand multiple, and ~9x stops being cheap

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Crocs brand — The core clog/sandal franchise — ~83% of revenue and essentially all the FCF; ~+1% overall but +7% international, the memo's swing factor.

HEYDUDE — The casual-footwear brand acquired in 2022, now in structural decline (guided -5 to -7% FY26) and impaired by $737M; a small, de-risked residual.

HEYDUDE impairment — A $737M non-cash write-down (Q2-2025: $430M trademark + $307M goodwill) crushing FY25 GAAP op margin to 3.7% — why the model uses normalized (~22%) margins.

Net debt — Total debt (~$1.34B) less cash (~$0.13B) ≈ $1.2B from the HEYDUDE deal; subtracted from operating EV in the equity build, paid down with the buyback.

FCF margin — Free cash flow / revenue (~16-21% across scenarios, ~22% adjusted op margin underneath); whether the brand converts sales to deep free cash flow.

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